

International Commercial Arbitration

Sample Question Paper

Institute of Law, Nirma University · Semester IX · 2026–27
Module A — Applicable Laws and Rules (Sessions 1–3)

Instructions. Five questions follow. Each carries a fact pattern, an extract from the relevant part of the arbitration agreement, and a question. Answer with reasons, citing the governing provision and any authority you rely on. Where a question invites you to consider more than one issue, address each separately.

Question 1 — The Seat That Was Only a Venue

Fact pattern. Kutch Ceramics Ltd., a manufacturer in Morbi, Gujarat, entered into a supply agreement with Al Nakheel Trading LLC of Dubai. The agreement was negotiated in Ahmedabad and signed there. The parties chose the law of England and Wales to govern the agreement. The agreement contained the following clause:

Clause 24.1 — “Any dispute arising out of or in connection with this Agreement shall be finally settled by arbitration in Dubai under the SIAC Rules.”

Clause 24.2 — “The courts at Ahmedabad shall have exclusive jurisdiction in respect of all matters arising under this Agreement.”

The procedural conference was held by video. The evidentiary hearing took place in Dubai because the witnesses were resident there. The tribunal deliberated in London. The award was signed at Dubai and despatched from Singapore. Kutch Ceramics has filed a petition under Section 34 of the Arbitration and Conciliation Act, 1996 before the Commercial Court at Ahmedabad. Al Nakheel contends that the Ahmedabad court has no jurisdiction to entertain the petition.

Question. Which court, if any, has jurisdiction to set aside the award? In answering, identify the seat, explain what work Clause 24.2 does, and state whether the place of signature has any bearing on the question.

Question 2 — The Clause That Borrowed a Foreign Procedure

Fact pattern. The Union of India entered into a contract with Meridian Systems Inc., a company incorporated in the United States, for the supply and installation of air defence simulation software. The contract provided:

Clause 19.1 — “This Agreement shall be governed by and construed in accordance with the laws of India.”

Clause 19.2 — “Any dispute arising between the parties shall be referred to arbitration. The seat of the arbitration shall be London. The arbitration shall be conducted in accordance with the procedure provided in the Indian Arbitration Act, 1940.”

A dispute arose regarding defective installation. Meridian commenced arbitration in London. The Union of India appeared under protest and argued that because the clause expressly incorporated the procedure of the 1940 Act, the arbitration was an Indian arbitration and the English courts had no supervisory role. It further argued that the tribunal had wrongly permitted the parties to file documents beyond the time limits prescribed under the 1940 Act.

Question. Does the incorporation of the 1940 Act’s procedure displace the supervisory jurisdiction of the English courts? Distinguish between the internal conduct of the arbitration and its external supervision, and state what consequence follows for the Union of India’s complaint about the filing of documents.

Question 3 — The Rules That Changed After the Contract

Fact pattern. In 2019, Sundaram Exports Pvt. Ltd. of Chennai entered into a charterparty with Pacific Bulk Carriers Pte. Ltd. of Singapore. The arbitration clause read:

Clause 31 — “Any dispute arising out of this Charterparty shall be referred to and finally resolved by arbitration in Singapore in accordance with the SIAC Rules, by three arbitrators. The seat of the arbitration shall be Singapore.”

The SIAC Rules in force in 2019 contained no expedited procedure. The SIAC Rules were subsequently amended to introduce an expedited procedure under which the President may direct that the dispute be decided by a sole arbitrator notwithstanding any agreement providing for three, where the amount in dispute falls below the prescribed threshold. In 2024, Pacific Bulk commenced arbitration. The amount in dispute fell below the threshold. SIAC applied the expedited procedure and appointed a sole arbitrator. Sundaram Exports objected to the composition of the tribunal and, after the award was rendered against it,

applied to the Singapore High Court to set the award aside on the ground of improper composition of the tribunal.

Question. Which edition of the SIAC Rules governs the arbitration — those in force when the contract was made, or those in force when the arbitration was commenced? On what view of party autonomy can a clause providing for three arbitrators yield a tribunal of one? Would your answer differ before a court asked to enforce the award outside Singapore?

Question 4 — The Law Nobody Chose

Fact pattern. Agro Fresh Pvt. Ltd., a company based in Nashik, entered into a contract for the sale of processed onion flakes with Levant Foods LLC of Amman, Jordan. The goods were to be delivered to a consignee in Basra, Iraq. The contract contained no governing law clause. It provided:

Clause 22 — “All disputes arising under this Contract shall be finally settled under the Rules of Arbitration of the International Chamber of Commerce by one arbitrator. The place of arbitration shall be Paris.”

A dispute arose concerning short delivery and payment. Agro Fresh claimed the price of the undelivered goods and, in the alternative, restitution of sums paid. Levant Foods raised a defence that the claim was time-barred. Agro Fresh urged the tribunal to apply the CISG and, more broadly, the *lex mercatoria*, on the basis that the contract was a sale of goods between parties in different States and that recourse to any national system was unnecessary. Levant Foods contended that the tribunal was obliged to identify a national law.

Question. How should the tribunal determine the applicable substantive law, given that the parties made no choice? Identify the route available to the tribunal under the applicable institutional rules and the Model Law respectively, and explain why the *lex mercatoria* argument fails on these facts. In your answer, address specifically what happens to Agro Fresh’s restitutionary claim and to the limitation defence.

Question 5 — The Interest Clause the Tribunal Ignored

Fact pattern. Meridian Infrastructure Ltd. entered into an engineering, procurement and construction contract with Saurashtra Power Corporation Ltd. for the construction of a thermal power plant in Gujarat. The contract provided:

Clause 21.1 — “This Agreement shall be governed by the laws of the Emirate of Dubai.”

Clause 21.4 — “In addition to Clause 21.1, the arbitral tribunal shall apply the UNIDROIT Principles of International Commercial Contracts, 2016. In the event of

any conflict between the laws of the Emirate of Dubai and the UNIDROIT Principles, the UNIDROIT Principles shall prevail.”

Clause 14.3 — “No interest shall be payable on any sum due under this Agreement, whether before or after the date of any award.”

Clause 27 — “The seat of the arbitration shall be Singapore.”

During performance, the Government of India imposed an export restriction on a category of specialised steel that Meridian required. Meridian was unable to procure the steel and its performance was delayed. Saurashtra terminated the contract and withheld payment. The tribunal, seated in Singapore, applied the UNIDROIT Principles and found that Meridian was excused from performance on the ground of hardship. It awarded Meridian the sums withheld, together with interest at 9% per annum from the date of termination. Saurashtra has challenged the award.

Question. Consider each of the following, giving reasons:

1. Was Clause 21.4 an effective choice of the UNIDROIT Principles, and can a tribunal seated in Singapore apply them to the substance of the dispute?
2. The tribunal relied on the Indian export restriction to establish the fact of non-performance. Is Indian law thereby “applied” as the governing law, and does it matter that India was the place of performance?
3. Was the tribunal entitled to award interest notwithstanding Clause 14.3? Identify the provision that bears on the question and explain how it operates.